Republic of Malawi
MINISTRY OF FINANCE

FINAL INTERNAL AUDIT CHARTER

DECEMBER 2020

CONTENTS

1.0	INTRODUCTION	1
2.0	PURPOSE AND ROLE OF AUDIT COMMITTEE	1
3.0	AUTHORITY	2
4.0	CORE PRINCIPLES	2
5.0	STANDARDS OF AUDIT PRACTICE	3
6.0	ORGANISATION	3
7.0	INDEPENDENCE AND OBJECTIVITY	4
8.0	RESPONSIBILITIES	5
9.0	ROLE OF INTERNAL AUDIT IN FRAUD RELATED WORK	8
10.0	INTERNAL AUDIT PLAN	9
11.0	INTERNAL AUDIT RESOURCE REQUIREMENTS	9
12.0	EVALUATION AND SELF-ASSESSMENT	9
13.0	REPORTING AND MONITORING	10
14.0	QUALITY ASSURANCE AND IMPROVEMENT PROGRAMME	11
15.0	APPROVAL AND AMENDMENT OF CHARTER	11

1.0 INTRODUCTION

1.1. Internal Audit is an independent, objective assurance and consulting activity designed to add value and improve the operations of a Local Authority. It assists a Local Authority in accomplishing its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of the Authority's risk management, control and governance processes.

1.2. In this Charter, elected members of the Local Authority shall constitute the Board of the Local Authority.

1.3. This Charter shall be read in conjunction with the Internal Audit Handbook

2.0 PURPOSE AND ROLE OF AUDIT COMMITTEE

The Audit Committee is part of the governance framework, tasked with considering the organisation's internal control systems and procedures and providing assurance to the Local Authority regarding the suitability of those systems.

2.1. The purpose of the Audit Committee is to give confidence to the citizen and the Local Authority on the Local Authority's control environment and governance arrangements through independent and objective reporting to the Chief Executive Officer/ District Commissioner and the Audit Committee

2.2. The Audit Committee's role is to support the elected Board of the Local Authority by providing an independent assessment of the activities of management in controlling the Local Authority and the quality of the risk management, financial reporting, financial management and internal audit. The results of this assessment shall be reported to and considered by the Board of the Local Authority.

3.0 AUTHORITY

3.1. The Internal Audit Department, with strict accountability for confidentiality and safeguarding records and information, is authorised full, free, and unrestricted access to any and all of the Local Authority's records, physical properties, and personnel pertinent to carrying out any engagement. All employees are requested to assist the Internal Audit Department in fulfilling its roles and responsibilities. The Internal Audit Department will also have free and unrestricted access to the Board.

3.2. The requirement for an internal audit function in a Local Authority is provided for under Section 54 (4) of the Local Government Act 1998 which establishes the Internal Audit Department in each Local Authority. The role of the Internal Audit Department within the Local Authority is to undertake an adequate and effective internal audit of the Local Authority's accounting records and of its system of internal control in accordance with the proper practices in relation to internal control.

4.0 CORE PRINCIPLES

4.1. The Core Principles, taken as a whole, articulate internal audit effectiveness. Internal auditors will possess and demonstrate the Core Principles for the Professional Practice of Internal Auditing:

a. Demonstrates integrity
b. Demonstrates competence and due professional care
c. Is objective and free from undue influence (independent)
d. Aligns with the strategies, objectives, and risks of the organisation
e. Is appropriately positioned and adequately resourced
f. Demonstrates quality and continuous improvement
g. Communicates effectively
h. Provides risk-based assurance
i. Is insightful, proactive, and future-focused
j. Promotes organisational improvement

5.0 STANDARDS OF AUDIT PRACTICE

5.1. The internal audit function will be subject to the requirements of The Institute of Internal Auditors' International Standards for the Professional Practice of Internal Auditing.

6.0 ORGANISATION

6.1. The Head of Internal Audit shall report functionally to the Board through the Audit Committee and administratively (i.e. day to day operations) to the Chief Executive Officer/District Commissioner.

6.2. The Board through the Audit Committee shall:

a. Approve the internal audit charter.
b. Approve the risk based internal audit plan.
c. Approve the internal audit budget and resource plan.
d. Receive communications from the Head of Internal Audit on the Internal Audit Department's performance relative to its plan and other matters.
e. Approve decisions regarding the appointment and removal of the Head of Internal Audit.
f. Approve the remuneration of the Head of Internal Audit.
g. Make appropriate inquiries of management and the Head of Internal Audit to determine whether there is inappropriate scope or resource limitations.

6.3. The Head of Internal Audit shall communicate and interact directly with the Board, including in executive sessions and between Board meetings as appropriate.

7.0 INDEPENDENCE[1] AND OBJECTIVITY[2]

7.1. Audit Committee members must be independent, and their independence shall be continuously maintained and reviewed at least annually.

7.2. The Internal Audit Department shall remain free from interference by any element in the Local Authority, including matters of audit selection, scope, procedures, frequency, timing, or report content to permit maintenance of a necessary independent and objective mental attitude.

7.3. Internal auditors shall have no direct operational responsibility or authority over any of the activities audited. Accordingly, they shall not implement internal controls, develop procedures, install systems, prepare records, or engage in any other activity that may impair internal auditor's judgment.

7.4. Internal auditors shall exhibit the highest level of professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined. Internal auditors shall make a balanced assessment of all the relevant circumstances and not be unduly influenced by their own interests or by others in forming judgments.

7.5. Every internal auditor shall be required to sign a Declaration of Auditor Independence annually.

7.6. The Head of Internal Audit shall confirm to the Board, at least annually, the organisational independence of the Internal Audit Department. w

1 Independence is the freedom from conditions that threaten the ability of the Internal Audit Department to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the internal Audit Department, the Head of Internal Audit has direct and unrestricted access to senior management and the Board. This can be achieved through a dual-reporting relationship. Threats to independence must be managed at the individual auditor, engagement, functional, and organisational levels. (Source: Institute of Internal Auditors, *Standard 1100 Independence and Objectivity*).

2 Objectivity is an unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others. Threats to objectivity must be managed at the individual auditor, engagement, functional, and organisational levels. (Source: Institute of Internal Auditors, *Standard 1100 Independence and Objectivity*).

8.0 RESPONSIBILITIES

8.1. The scope of internal auditing shall encompass, but is not limited to, the examination and evaluation of the adequacy and effectiveness of the Local Authority's governance, risk management, and internal controls as well as the quality of performance in carrying out assigned responsibilities to achieve the Local Authority's stated goals and objectives. This shall include:

a. Evaluating risk exposure relating to achievement of the Local Authority's strategic objectives.
Evaluating the reliability and integrity of information and the means used to identify, measure, classify, and report such information.

b. Evaluating the systems established to ensure compliance with those policies, plans, procedures, laws, and regulations which could have a significant impact on the Local Authority.
Evaluating the means of safeguarding assets and, as appropriate, verifying the existence of such assets.

c. Evaluating the effectiveness and efficiency with which resources are employed.

d. Evaluating operations or programmes to ascertain whether results are consistent with established objectives and goals and whether the operations or programmes are being carried out as planned.

e. Monitoring and evaluating governance processes.

f. Monitoring and evaluating the effectiveness of the Local Authority's risk management processes.

g. Evaluating the degree of coordination between internal and external providers of assurance – sharing information and coordinating activities to ensure proper coverage.

h. Performing consulting and advisory services related to governance, risk management and control as appropriate for the Local Authority.

i. Reporting periodically on the internal audit activity's purpose, authority, responsibility, and performance relative to its plan.

j. Reporting significant risk exposures and control issues, including fraud risks, governance issues, and other matters needed or requested by the Board.

k. Evaluating specific operations at the request of the Board or management, as appropriate.

8.2. The Local Authority shall be responsible for establishing and maintaining appropriate risk management processes, control systems, accounting records and governance arrangements. Internal Audit shall therefore play a vital part in advising the Local Authority that these arrangements are in place and operating properly.

8.3. The provision of assurance shall therefore be the primary role for internal audit. This role shall require the Head of Internal Audit to provide an annual internal audit opinion and report which is based on an objective assessment of the framework of governance, risk management and control.

8.4. Internal Audit may also undertake non-assurance work including fraud related and consultancy work, at the request of the Local Authority, subject to there being no impact on the core assurance work and the availability of skills and resources.

8.5. The Head of Internal Audit shall be made aware of major new systems and proposed initiatives. The Head of Internal Audit shall consider what if any audit work needs to be done to help ensure risks are properly identified and evaluated and appropriate controls built in.

8.6. In terms of governance, the following have been defined in terms of responsibilities.

Board and Audit Committee

8.6.1. The Board is defined as "the highest level of governing body charged with the responsibility to direct and/or oversee the activities and management of the Local Authority. 'Board' may refer to the Finance Committee of which an Audit Committee is a sub-committee and to which the governing body has delegated certain functions".

8.6.2. "Audit Committee" is defined as "The governance group charged with independent assurance of the adequacy of the risk management framework, the internal control environment and the integrity of financial reporting". In accordance with the delegated authority, consideration of and responding to reports by the Internal Audit Department is a function that has been delegated to the Audit Committee, as a sub-committee of the Finance Committee.

Head of the Internal Audit Department

8.6.3. In accordance with the institute of internal auditors best practice, the following are some of the responsibilities of the internal audit function:

a. To maintain an efficient and effective internal audit unit able to carry out the functions of the unit;
b. To implement all relevant aspects of the Internal Audit Manual and ensure that the prescribed standards and work programmes are adhered to where applicable;

c. To prepare annual and quarterly work plans for the internal audit unit to ensure optimal deployment of resources to priority audit areas, and to submit the plans to the Audit Committee for approval;

d. To supervise the conduct of audits, and review the draft audit reports and working papers of the staff to ensure that:

   I. all audits have been carried out to an acceptable standard following prescribed programmes; and

   II. all matters arising have been properly dealt with and reported in the correct manner.

e. To prepare internal audit quarterly reports for submission to the Audit Committee within one month at the end of each quarter.

f. To review the financial and accounting systems in operation in each department and establishment of the administration to ensure that they are adequate, effective and conform to the provisions of the statutes and regulations and the internal audit manual.

g. To audit revenue collection to ensure that all monies due to the Local Authority are collected and banked, or otherwise accounted for in line with statutes and regulations and the Internal Audit Manual.

h. To audit procurement procedures and payments to ensure that all goods, services and works are properly ordered, received, examined and paid for in terms of these Regulations and the internal audit manual and that value for money as an objective of procurement has been achieved.

i. To conduct manpower audits embracing all employees of the Local Authority including staff records, remuneration levels, allowances, and payments to ensure conformity with the budget, approved establishment, regulations and the Internal Audit Manual.

j. To audit all stores, cash, assets and other property owned or in the care of the Local Authority to ensure their safe custody, efficient and economic usage and disposal.

Senior Management

8.6.4. In the context of communicating the results of internal audit work and discussing the work plan, the Head of Internal Audit shall be accountable to the Audit Committee although administratively shall report to the Chief Executive Officer/District Commissioner. In practical terms, it is the Head of Internal Audit who shall release all the reports to the Local Authority.

8.6.5. In order to ensure that the Local Authority provides services of the highest possible quality within the resources available and in accordance with the needs of the people

within its jurisdiction, the appropriate use of the available resources shall be essential in order to ensure that the quality of service is of a high standard. The aim of Internal Audit shall be to provide assurance to the Chief Executive Officer/District Commissioner and the Audit Committee, and consequently to the people within the Local Authority's jurisdiction, that those resources which are available are managed and used appropriately, with transparency.

8.6.6. The Internal Audit Department shall do this by providing an independent and objective opinion to the Local Authority on the control environment by auditing all financial systems and internal control procedures within the Authority, performing a combination of risk-based, system- based, regularity, computer and contract audits on a wide range of the Local Authority's Directorates, in accordance with a strategy and audit plan based on an assessment of the Local Authority's audit needs.

8.6.7. The Head of Internal Audit shall ensure that internal audit is provided in accordance with this Charter and Internal Audit Manual as far as practicable. To this end, the Head of Internal Audit shall prepare an annual audit plan derived from an objective review of the risks that may affect the provision of the Local Authority's services, and consultation with Heads of Directorates and Senior Officers. It shall be agreed with the Chief Executive Officer/District Commissioner before it is presented to the Audit Committee for adoption.

8.6.8. The responsibility of the Local Authority's external auditors shall be to give an independent opinion on the Authority's financial statements and a conclusion on its arrangements for securing economy, efficiency and effectiveness in its use of resources. Internal Audit shall co-operate with the external auditors as required.

9.0 ROLE OF INTERNAL AUDIT IN FRAUD RELATED WORK

9.1. Managing the risk of fraud and corruption shall be the responsibility of management. The Head of Internal Audit shall be informed of all suspected or detected fraud, corruption or impropriety to inform his/her opinion on the internal control environment and Internal Audit's work programme.

9.2. At the request of management, Internal Audit may go beyond the work needed to meet its assurance responsibilities and assist with, for example, the investigation of suspected fraud and corruption.

10.0 INTERNAL AUDIT PLAN

10.1. At least annually, the Head of Internal Audit shall submit to senior management and the Board through the Audit Committee an internal audit plan for review and approval. The internal audit plan shall consist of a work schedule as well as budget and resource requirements for the next financial year.

10.2. The internal audit plan shall be developed based on a prioritisation of the audit universe using a risk-based methodology, including input of senior management and the Board. The Head of Internal Audit shall review and adjust the plan, as necessary, in response to changes in the Local Authority's business, risks, operations, programmes, systems, and controls. Any significant deviation from the approved internal audit plan shall be communicated to senior management and the Board through periodic activity reports.

11.0 INTERNAL AUDIT RESOURCE REQUIREMENTS

11.1. Where the budget of the Internal Audit Department is insufficient to meet the assurance needs of the Audit Committee and senior management, the Head of Internal Auditor shall need to raise such concerns and explain the impact of such limitations upon the assurance they are able to provide. The Audit Committee can direct a review of resources and approve as required to meet its needs. For example, if the Head of Internal Audit is of the opinion that he/she does not have sufficient resources (financial, human, equipment, technology, etc.) to allow him/her to give an opinion on the control environment in accordance with the requirements of the Standards, he/she shall report this to the Board through the Audit Committee.

12.0 EVALUATION AND SELF-ASSESSMENT

12.1. The Audit Committee shall strive to achieve best practice in its performance and in this instance the Audit Committee shall undertake a review of its own effectiveness annually. This review shall assess its performance and achievements against its Char-

ter and the annual work programme. The aim of this assessment is to ensure that the Audit Committee is meeting its objectives efficiently and effectively. The findings of the self-assessment shall be included in the annual report of the Committee that is presented to the Local Authority. Views of relevant stakeholders shall be sought to inform this review.

13.0 REPORTING AND MONITORING

13.1. A written report shall be prepared and issued by the Head of Internal Audit or designee following the conclusion of each internal audit engagement (assurance) and shall be distributed as appropriate. Internal audit results shall also be communicated to the Board.

13.2. The internal audit report may include management's response and corrective action taken or to be taken in regard to the specific findings and recommendations. Management's response, whether included within the original audit report or provided thereafter by management of the audited area shall include a timetable for anticipated completion of action to be taken and an explanation for any corrective action that will not be implemented.

13.3. The Head of Internal Audit shall be responsible for appropriate follow-up on engagement findings and recommendations. All significant findings will remain in an open issues file until cleared.

13.4. The Head of Internal Audit shall quarterly report to senior management and the Board on the Internal Audit Department's purpose, authority, and responsibility, as well as performance relative to its plan. Reporting shall also include significant risk exposures and control issues, including fraud risks, governance issues, and other matters needed or requested by senior management and the Board.

13.5. The Head of Internal Audit shall be responsible for the delivery of an annual audit opinion and report that can be used by the Local Authority to inform its governance statement. The annual opinion shall conclude on the overall adequacy and effectiveness of the Local Authority's framework of governance, risk management and control. The annual report shall be submitted to the Ministry of Local Government and Rural Development; National Audit Office; and Central Internal Audit Unit in the Ministry of Finance through the National Local Government Finance Committee.

13.6. The Head of Internal Audit shall report regularly to the Audit Committee:

a. On the results of Internal Audit work in the preceding period.

b. On any substantial control weaknesses discovered or audited.

c. On any agreed actions that were not implemented within the agreed timetable, where a failure to act on those action would prolong a substantial control weakness.

d. Progress on completion of the Internal Audit Plan for the current year.

14.0 QUALITY ASSURANCE AND IMPROVEMENT PROGRAMME

14.1. The Internal Audit Department shall maintain a quality assurance and improvement programme that covers all aspects of the Internal Audit Department. The programme shall include an evaluation of the Internal Audit Department's conformance with the Definition of Internal Auditing and the Standards and an evaluation of whether internal auditors apply the Code of Ethics. The programme shall also assess the efficiency and effectiveness of the Internal Audit Department and identify opportunities for improvement.

14.2. The Head of Internal Audit shall communicate to senior management and the Board on the Internal Audit Department's quality assurance and improvement program, including results of ongoing internal assessments and external assessments conducted at least every five years.

15.0 APPROVAL AND AMENDMENT OF CHARTER

The Audit Committee shall review the Charter every two years and approve changes as required.

_____ Chief Executive Officer/District Commissioner

_____ Audit Committee Chair

Dated _____

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